UNIVERSITY OF THE PUNJAB

B.S. 4 Years Program / Sixth Semester – Fall2022

Paper: History of Economics Thought Course Code: ECON-309A Time: 3 Hrs. Marks: 60

THE ANSWERS MUST BE ATTEMPTED ON THE ANSWER SHEET PROVIDED

Q.1. Write short notes on the following. (5x6=30)

1. Explain salient features of Muslim school of thought

Ans: Prohibition of Interest: One of the key principles in Islamic economics is the prohibition of interest-based transactions. Muslims are encouraged to engage in ethical financial practices that promote fairness and avoid exploitation.

Emphasis on Equity and Social Welfare: Islamic economics emphasizes the importance of social justice and equitable distribution of wealth. It encourages economic systems that address poverty, unemployment, and income inequality.

Ethical Business Practices: Islamic economics promotes ethical business practices that align with Islamic values. These practices include honesty, transparency, fair trade, and avoiding harmful or unethical industries such as gambling or alcohol.

Zakat and Charity: Muslims are required to contribute a portion of their wealth through Zakat, which is an obligatory form of charity. This wealth redistribution system aims to alleviate poverty and promote social welfare.

Prohibition of Speculation: Islamic economics discourages excessive speculation or gambling-like activities that may create economic instability or exploit others. It focuses on productive economic activities that generate real value for society.

Partnership and Risk-Sharing: Islamic economics promotes the use of partnership and profit-sharing models in business transactions. This encourages shared risk and responsibility among stakeholders, fostering a more equitable economic system.

2. Lessons from American economic history

Ans: Innovation and Technological Advancement: Throughout its history, the United States has been a hotbed of innovation and technological advancements. From the Industrial Revolution to the digital age, American entrepreneurs and inventors have played a significant role in driving economic growth. This highlights the importance of fostering a culture of innovation and embracing new technologies to spur economic development.

Economic Boom-Downturn Cycles: American economic history is marked by cycles of booms and downturns. These cycles can teach us valuable lessons about the ebbs and flows of the economy. For example, the Great Depression of the 1930s and the more recent Great Recession of 2008 showed the importance of implementing effective policies to stabilize the economy, regulate financial institutions, and provide support to those affected by economic downturns.

The Power of Free Markets: The United States has a long tradition of embracing free-market principles. The success of American capitalism and its ability to foster economic growth is often attributed to the principles of competition, private property rights, and limited government intervention. This highlights the importance of free markets in driving innovation, entrepreneurship, and overall economic prosperity.

Inclusive Growth and Social Welfare: Over time, the United States has recognized the need for inclusive growth and social welfare programs. Lessons from American economic history show that promoting equitable access to opportunities, reducing income inequality, and ensuring a safety net can contribute to a more sustainable and prosperous economy.

3. Marxian Theory

Ans: Marxian theory, developed by Karl Marx, examines the capitalist system and its impact on society. It critiques capitalism for its inequality and exploitation. Marx believed that the value of a commodity is determined by the labor put into it. He also highlighted class struggle between the bourgeoisie (wealthy capitalists) and the proletariat (working class). Marxian theory sees history as evolving through stages, with the potential for a future classless society.

Marxian theory also incorporates historical materialism, which posits that social and economic structures evolve through historical stages. Marx believed that historical progress was driven by contradictions inherent in the mode of production, and that each stage, including capitalism, would eventually be superseded.

4. Dependency Theory

Ans: Dependency theory is an economic theory that examines the relationship between developed and underdeveloped countries. It suggests that underdeveloped countries are dependent on, and exploited by, developed countries. According to this theory, developed countries benefit from extracting resources and cheap labor from underdeveloped countries, perpetuating their economic dependence. Dependency theory focuses on the structural factors that contribute to this unequal relationship, such as unequal trade, foreign investment, and global power dynamics. It's an interesting perspective on global economic systems and their impact on different nations

5. Benefits of Building Blocks

Ans: When it comes to economics, building blocks can have some interesting benefits as well. For example, the manufacturing and construction industries benefit from the demand for building blocks, which stimulates economic activity and creates jobs. Additionally, the production and sale of building blocks contribute to local and national economies through revenue generation and taxes. Building blocks can also have indirect economic benefits by supporting other industries, like architecture and design. So, while building blocks are fun and educational, they can also have a positive impact on the economy

Q.2. Answers the following questions. (3x10=30)

1. Explain Malthusian theory of Population in detail

Ans: Malthusian theory of Population was proposed by Thomas Malthus, an economist, in the late 18th century. This theory explores the relationship between population growth and resources. Malthus argued that population tends to grow exponentially, while the availability of resources, like food and land, grows at a slower rate, leading to a potential imbalance. He claimed that if left unchecked, population growth would eventually outpace the ability to meet the needs of everyone, resulting in famine, poverty, and other hardships.

Malthus identified two types of checks that would naturally limit population growth: preventive checks and positive checks. Preventive checks include things like abstinence, birth control, and late marriages, while positive checks involve natural disasters, disease, and war. According to Malthus, these checks serve as natural mechanisms to keep population growth in check and ensure that resources are not strained beyond their limits.

However, it's important to note that Malthus' theory has been heavily criticized and is often seen as too pessimistic. Critics argue that technological advancements and economic growth can help overcome resource limitations, leading to improved standards of living.

2. Briefly explain

a) **The emergence of Modern economic growth**

b) **Environment and sustainable growth**

Ans: The emergence of Modern economic growth

The emergence of modern economic growth refers to a historical period characterized by sustained and widespread increases in economic output, productivity, and living standards. Beginning in the late 18th century and gaining momentum in the 19th century, this transformative phase was marked by several key factors. The Industrial Revolution played a pivotal role, bringing about mechanized production systems and technological innovations like the steam engine. Advances in science and technology, along with improved communication, boosted productivity. Capital accumulation, facilitated by financial institutions, supported investment in industries and infrastructure. Global trade expanded, thanks to improved transportation, fostering economic interdependence. Investments in education and training enhanced the skill level of the workforce. Institutional changes, including legal frameworks and competitive markets, supported entrepreneurship and economic development. Demographic shifts, such as population growth and urbanization, provided a larger labor force and stimulated demand. While the timing and impact varied, this period laid the foundation for the modern industrialized economies we observe today.

Environment and sustainable growth

Environment and sustainable growth are intricately linked concepts that emphasize the importance of economic development without compromising the well-being of ecosystems and natural resources. Achieving sustainable growth involves balancing economic, social, and environmental considerations to ensure long-term viability and resilience.

Key aspects are as follows

Resource Conservation: Sustainable growth involves responsible use and conservation of natural resources to prevent depletion and environmental degradation. This includes sustainable forestry, water management, and the promotion of renewable energy sources.

Environmental Stewardship: Businesses are encouraged to adopt practices that minimize pollution, reduce carbon emissions, and promote the responsible disposal of waste. This often involves adhering to environmental regulations and implementing eco-friendly technologies.

Social Equity: Sustainable growth also considers social aspects, ensuring that economic development benefits all segments of society. This includes addressing issues such as poverty, inequality, and access to basic services like education and healthcare.

3. Discuss the economic effects of the crises of 1970's what was the international responses to this crisis

Ans: The 1970s was a tumultuous decade for the global economy, marked by several interrelated crises that had widespread economic effects. The key economic challenges during this period included:

Stagflation: One of the defining features of the 1970s was the occurrence of stagflation, a combination of stagnant economic growth and high inflation. This phenomenon contradicted the traditional economic understanding that inflation and unemployment moved inversely.

Oil Crisis: The most significant event of the 1970s was the oil crisis. In 1973, the members of the Organization of Arab Petroleum Exporting Countries (OAPEC) imposed an oil embargo on Western countries in response to their support for Israel in the Yom Kippur War. This led to a sharp increase in oil prices, causing a significant economic shock for oil-importing nations.

Global Recession: The oil crisis contributed to a global recession, with many advanced economies experiencing a decline in output and rising unemployment. The combination of high inflation and economic downturn created a challenging macroeconomic environment.

Deindustrialization: Some developed economies, particularly in the West, faced deindustrialization as industries struggled to adapt to higher energy costs and increased global competition.

Currency Instability: Exchange rates were highly volatile during this period, as the Bretton Woods system, which had pegged currencies to the U.S. dollar, collapsed. This led to a shift toward floating exchange rates and increased currency market turbulence.

International responses to these economic challenges were as follows

Monetary Policy Shifts: Central banks, including the U.S. Federal Reserve, shifted monetary policy to address both inflation and unemployment. However, these efforts often faced the dilemma of choosing between conflicting policy goals.

Energy Conservation Measures: In response to the oil crisis, many countries implemented energy conservation measures and sought alternative energy sources to reduce dependence on oil.

International Monetary Fund (IMF) Involvement: Some countries sought assistance from the IMF to stabilize their economies. The IMF provided financial support in exchange for the implementation of economic reforms and austerity measures.

Trade Liberalization: To stimulate economic growth, there was a trend toward trade liberalization. Countries sought to open up markets and reduce trade barriers to foster international commerce.

Global Economic Governance Reforms: The economic challenges of the 1970s prompted discussions about reforming global economic governance structures. This laid the groundwork for changes in international economic institutions in the subsequent decades.

THE END